Q1 FY2026 Earnings Conference Call Transcript

Date: July 29, 2025

Management: *Mr. Amit Syngle : MD & CEO*

Mr. R.J. Jeyamurugan: CFO & Company Secretary

Mr. Parag Rane : AVP - Finance

Mr. Lakshya Sharma : AGM - Finance

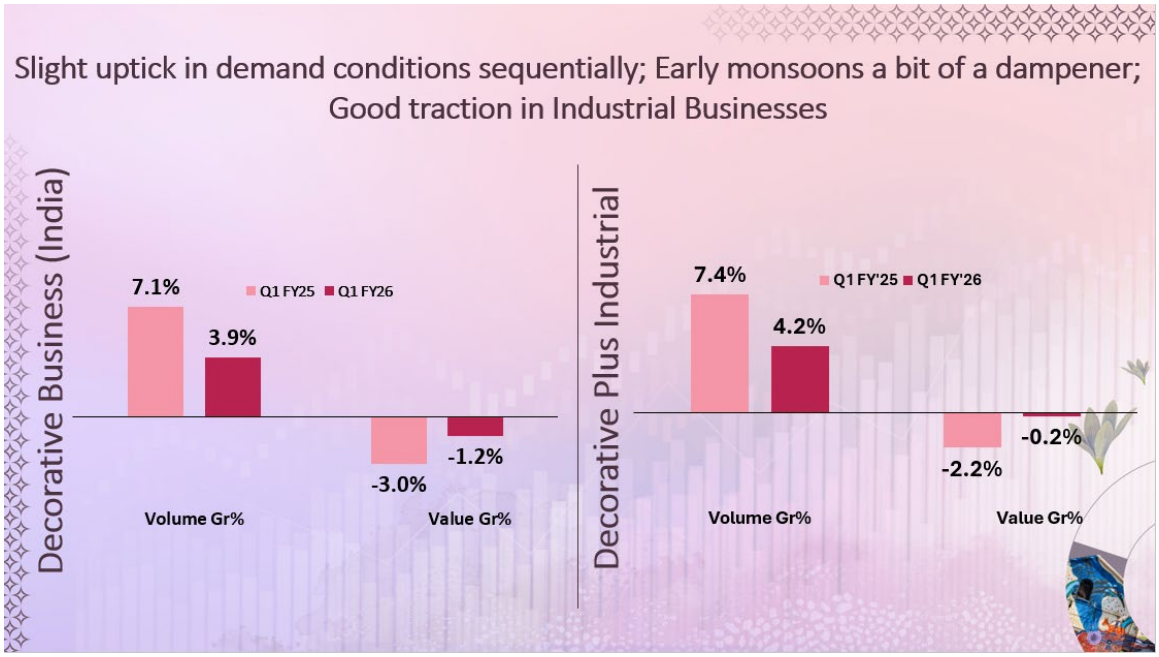
Disclaimer: This is a memorandum of the proceedings of the Investor Conference of Asian Paints Limited held on Tuesday 29th July 2025 at 5:30 pm in Mumbai with regards to the financial results of the Company for the First Quarter ended 30th June 2025. While we have made our best attempt to prepare a verbatim transcript of the proceedings of the meeting, this document has been edited for readability purposes and may not be a word-to-word reproduction.

Lakshya Sharma: Hello, and good evening, everyone, and thank you for joining us today for Asian Paint's Q1 FY26 results call. I'm Lakshya Sharma from Investor Relations team and it's my pleasure to welcome you all. We are joined today by senior members of the management team, including our MD and CEO, Mr. Amit Syngle, our CFO and Company Secretary, Mr. RJ Jeyamurugan and Mr. Parag Rane AVP Finance. I would now like to invite our MD and CEO to give us his opening remarks. Over to you, sir.

Amit Syngle: Good evening, everyone. Welcome to our earnings call for Q1 FY26.



The core value at Asian Paints, as we have been right reiterating every time is about delivering joy since 1942. We exist to beautify, preserve and transform all spaces and objects, bringing happiness to the world.

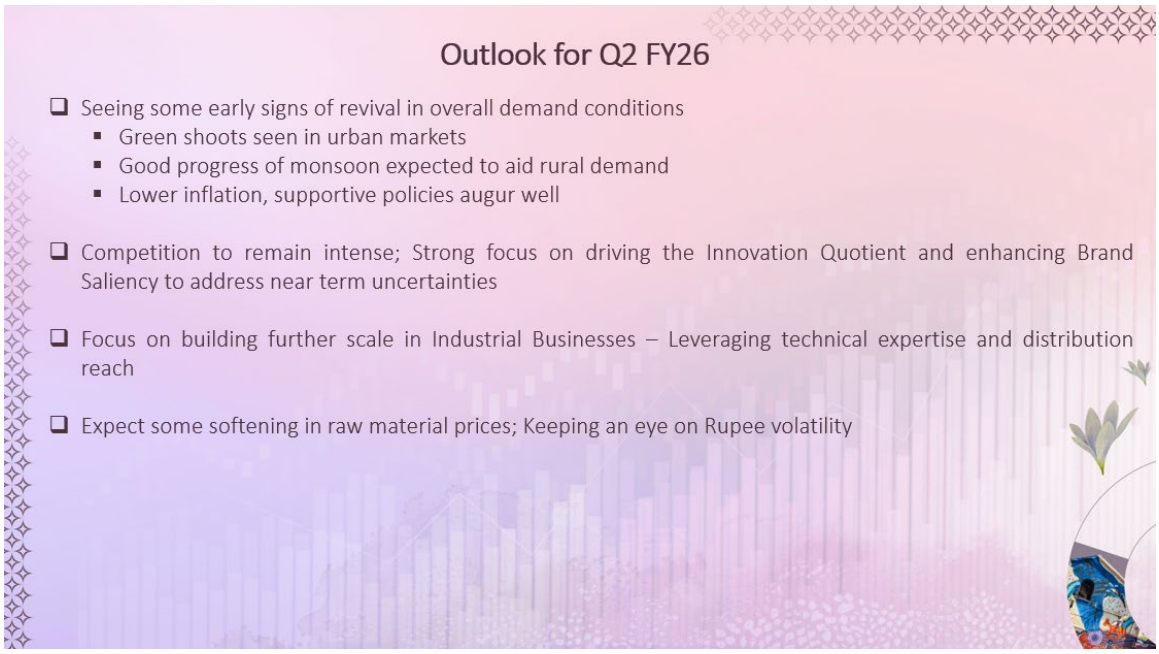


Let's go on and hit the results in terms of what they have been. So, obviously the environment, as we have been seeing, some of the overall demand being depressed over the last three or four quarters, we saw a slight uptick in demand sequentially and both T1, T2 cities and T3, T4 cities, we were seeing almost equal demand conditions.

Overall, the early monsoons which came in June were a little bit of a dampener which affected some of our business in coatings. However, industrial business has done well, and this is the story for the last two to three quarters that industrial business is definitely doing quite better.

When we look at from a decor business point of view in India. Overall, the volume growth has been decent. We've got about 3.9% volume growth over the Q1 of last year, which was also at about 7.1% volume growth. When we look at the value number, the value is just about -1.2%. So, just falling short of possibly hitting the base.

When we look at putting the industrial numbers along with this. So, look at the overall coatings piece, the volume goes to about 4.2% and the value is just at about the base of what we see. So, obviously the industrial business has grown almost close to 8.8%. That is kind of pepped up the overall coatings business as we see the final outcome. So, this is where we lie in terms of the overall revenues, and how it looks from the overall business in India.



And this is something which people look at obviously how are we looking at as we are going ahead as I said, some good shoots which we are seeing in the urban markets which basically is indicating some revival of demand which is happening.

Similarly, I think the monsoons this year have been fairly consistent and quite regular, which means that it is going to be definitely a normal monsoon and it is looking at upping the agrarian economy and therefore the rural demand should be definitely better and what we should see from a point of view of demand. At this stage, the inflation also seems to be in control. Although in the paint industry we also have anti-dumping duty which is being imposed in key raw material which is TiO_2. But overall, we think the inflation should be in control at this stage.

When we look at overall competition, it's now a lot of new competition coming in, existing competition also being strong. Overall, I think it's an exciting market. The competition is intense, and it is driving us to look at doing more of innovation, seeing how we can look at propelling the brand further, increasing the saliency, looking at prepositions which are new. But what we are committed is we would like to look at good growth in coming times.

Overall, when we look at industrial, that's another business which I spoke of. This is a business where we are leveraging a lot of areas of technical expertise, even our smart care range, some of the construction chemicals, all these businesses are adding to this in a big way. As I said, government factories are something which we look forward to propelling as we go forward. Along with this the B2B business is the other area which we are looking very strongly, and we feel that that's a big area what will give us, some results as we go forward. As I said, we see a little bit of a softening of raw material prices, but we are really keeping a very close eye on the rupee and in terms of tariffs which are kind of coming, which can impact overall the material prices going forward. So, this is the outlook we are looking at going forward. Thank you so much.

Moderator: Thank you so much, sir. We will now open the call for the Q&A session.

Abneesh Roy (Nuvama): Thanks. I have two questions. First is on the demand side and competition. On the demand side, you have mentioned some green shoots in urban which some of the other FMCG companies are also highlighting. But when you see that against the 12,000 job cuts by TCS and maybe other IT companies will also soon follow and overall job market, do you see some reversing of the earlier green shoots because IT jobs will be one small subset for you because you cater to every sector. So, would you be concerned on that and from a competition, the second subset to the first question now this is now fifth quarter of the new competition. The other large legacy player has said that the last 3-4 months for the new player the sales is stagnating. What will be your comment on that. And on the premium and mid segment, how is the response to the new player from the customers? And here I'm talking about the secondary sales, the primary sales is a number which is initially doable. But if you could comment on the secondary sales in terms of the premium and comment for the new player, you are the number one player. So, you will have a very good sense. Thank you.

Amit Syngle: Okay, great Abneesh. So, overall, when we look at from a demand perspective, you're right, we are seeing a quite a bit of tussle happening in the environment with the recent announcement in the job scene. However, what we see very clearly is when we look at from a point of view of demand, our demand is divided into two, three kinds of segments. First is the repainting segment. So, the repainting segment is either a maintenance led, or an occasion led. So, principally, I don't think so that gets really affected because it's a need-based thing which comes in, it only gets deferred sometime, but it doesn't really get affected from a point of view of consumption. The second area is the new construction, new homes. Yes, that is something which possibly can get affected. But you know a large part of some of these segments, especially the IT segments are in rental homes. And therefore, we feel that possibly the new homes, especially the premium and the luxury homes is something which should not get affected too much looking at how it is going. Obviously, it remains to be seen that whether it becomes really a large-scale movement overall in terms of the way it is going. But I think what we are confident is that today whatever shoots we have seen in demand should continue because the paint industry has anyway not seen very high demand to that extent. And I think in a way some of these things that bottomed out. So, I think we are still seeing that the demands conditions should not go worse than what we have seen in this quarter. That's point one. Second area which you mentioned about new competition. Overall, I've been always saying that new competition is always very exciting. It keeps us on our toes, new things, innovation what we want to bring. Overall, what we see is everyone in the competition would really make the best efforts of what they can do going forward. Because today, as I said, the competitive intensity has gone up. So, whether it is new players, whether it is existing players, we expect that the intensity of competition will remain to that extent. And therefore, what we are channelizing in terms of our ways is very clear that as we go ahead, we will look at possibly very strong ways to keep on growing, looking at innovation, brand saliency, looking at very different ways of what we can look at various regions. Regionalization is a strategy which I spoke of. So, therefore we are very committed to saying that we wanted to pursue the whole business of looking at growth going forward.

You also mentioned about a point in terms of the mid-level, and you know other premium level in emulsion. As I see it today, I think in some of these segments possibly the consumers consideration to buy is very strong. And the work which we keep on doing, whether it is digital, whether it is ATL, whether it is BTL in terms of really exciting the consumer with innovations is remaining quite strong. Our share of search even in the digital medium is strong. So, I feel that till the time, we have the

consumer with us, and we have the retailer supporting us in taking some of these areas. I think we should not see too much of possibly, interference happening in terms of how we see the growth in these segments. But at the same time, we are very clear the best brands should always win. So, if competition does good stuff, possibly they will get results.

Abneesh Roy: Sure thanks. One quick follow up on that. So, the 10% extra grammage, how big is that a deterrent and how are you responding to that specifically? Is it that the four-year warranty which you are now giving, which new competition is also giving plus the regionalization which you mentioned, which FMCG does quite well and now you are seeing benefit. How are you specifically responding to the 10% extra grammage which the new player is giving?

Amit Syngle: So, see from a customer's point of view, some of these areas sometimes also become blind spots because the customer is just not looking at saying what is that extra will give the customer in per square feet or how the customer will benefit. Sometimes it is the intermediary who benefits a little bit more in terms of looking at what extra the person is getting because that might result in a higher margin for the intermediary which could be a contractor, which could be a dealer. So, to some extent it is in a way like a discount is what we see and not too much of a consumer proposition what we are seeing because sometimes it is the intermediary which is making a decision in pushing it in some manners. So, I think that according to us will not really matter too much in this thing you have seen almost a year plus, that thing going in the market, and we see it as a discount in what possibly the new competition is giving.

Tejash Shah: You called out that higher rebates were also one of the reasons for lower reported net sales this quarter. So, just wanted to know was it in respond to the broader competitive strategy and YoY how that number would have turned out?

Amit Syngle: So, overall, you know we have upped our sales and marketing expenses the way we have gone in the market. Because as I said very clearly, we are looking at growth as we go ahead. And that is something which is the largest strategy at base. And as we see it, that is something which we adjust according to regions of how we need to look at on which segment how we want to go about. Because one thing which we are looking very strongly in some of these areas is that it has to be a sustainable growth. It's not something which is a flash in the pan that you can just increase some discounts here and there and there you got something in the short term and then you say that the number which you're getting. So, we are definitely not in that business and that is something which we have looked very clearly. So, it is strategic in the way we are looking, it comes from a point of view of region, product segments overall and with a strong marketing push in terms of what we want to do.

Tejash Shah: Just one last question. So, can you share some reasonable nuance on the demand side and any specific observation why premium end of the demand has not done that well in this quarter?

Amit Syngle: Overall, when we look at various geographies, we feel that the Northwest and Eastern geographies have been still done definitely better. I think the southern geographies got affected little bit from a point of view of a demand. But this is something which we are thinking is a little bit of a short-term phenomenon in the way it is going. And from the point of view of overall premium and